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21. 9:01 AM CASE NUMBER: C25-03586

CASE NAME: ED PENNING VS. FAIRWAY INDEPENDENT MORTGAGE CORPORATION

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: FAIRWAY INDEPENDENT MORTGAGE CORPORATION

TENTATIVE RULING:

Before the Court is Defendant Fairway Independent Mortgage Corporation's ("Fairway" or "Defendant") demurrer. The demurrer relates to Plaintiff Ed Penning's ("Plaintiff" or "Mr. Penning") Complaint for (1) violation of the California Invasion of Privacy Act ("CIPA"), Penal Code section 631; (2) violation of CIPA, Penal Code section 632; (3) violation of CIPA, Penal Code section 638.51; (4) breach of contract; and (5) violation of California's Unfair Competition Law ("UCL"), Business and Professions Code section 17200.

Defendant demurs to all five causes of action in Plaintiff's Complaint pursuant to Code of Civil Procedure section 430.10(e) on the grounds that each fails to state facts sufficient to constitute a cause of action. Defendant further contends that (1) Plaintiff's "expansive" interpretation of CIPA is not supported by the statute's plain language; (2) Plaintiff consented to Defendant's privacy policy and the privacy policies of Meta and Yahoo, which precludes each of Plaintiff's CIPA claims; and (3) breach of contract is not supported because Plaintiff failed to allege the required elements of breach of contract, there has been no CIPA violation, and Plaintiff is unable to allege that he lost money or property stemming from Defendant's alleged conduct.

Plaintiff opposes Defendant's demurrer on the grounds that (1) Plaintiff did not consent to Defendant's use of third-party trackers; (2) Plaintiff sufficiently alleged his claim for violation of Penal Code section 631 in that third-party trackers read Plaintiff's in-transit communications and Defendant aided the third-party trackers; (3) Plaintiff adequately alleged his claim for violation of Penal Code section 632; (4) Plaintiff's pen register claim was properly pled; (5) Defendant breached its contract with Plaintiff and the class; and (6) Defendant's conduct constitutes unfair business practices.

For the following reasons, Defendant's demurrer is **OVERRULED IN PART AND SUSTAINED IN PART**.

Plaintiff has 15 days from the date of entry of this order to file and serve any amended pleading.

I. Request for Judicial Notice

Defendant requests judicial notice of five exhibits pursuant to Evidence Code sections 452(h) and 453, and because Defendant contends they are incorporated by reference in the Complaint:

- (a) a print-out of the “Start Your Mortgage Process” accessible on Fairway’s website (https://www.fairway.com/start-here/purchase-or-refinance?utm_content=getStartedButton&page_refer=/) after navigating to the “Get started” button on Fairway’s homepage;
- (b) a print-out of Fairway’s Terms of Use/Terms of Service webpage accessible on Fairway’s website (<https://www.fairway.com/legal/terms-of-use>) from the “Start Your Mortgage Process” webpage by clicking the hyperlink for “Terms of Service” and through Fairway’s homepage;
- (c) a print-out of Fairway’s “Privacy Policy webpage” accessible on Fairway’s website (<https://www.fairway.com/legal/privacy-policy>) from the “Start Your Mortgage Process” webpage by clicking the hyperlink for “Privacy Policy” and through Fairway’s homepage;
- (d) a print-out of the “Welcome to the Yahoo Privacy Policy” webpage (<https://legal.yahoo.com/us/en/yahoo/privacy/index.html>); and
- (e) a printable version of Meta’s Privacy Policy (<https://www.facebook.com/privacy/policy>).

(Defendant’s Request for Judicial Notice Filed in support of Demurrer to Complaint (“Def. RJN”) at 2:11-3:9.)

Plaintiff objects to judicial notice of exhibits D and E and does not object to exhibits A through C. (Objection to: def RJN and plaintiff’s RJN (“Plaintiff’s RJN & Objections”) at 2:9-11.) Plaintiff also requests judicial notice of seven exhibits depicting Defendant’s homepage and the successive screens of the “Start Your Mortgage Process” form, to which Defendant objects in part. (*Id.* at 2:12-3:23.)

In ruling on a demurrer, a court may consider facts of which it has taken judicial notice. (Code Civ. Proc., § 430.30(a).) Pursuant to Evidence Code section 452(h) the Court may take judicial notice of “[f]acts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy.” (Evid. Code, § 452(h).) Written documents that are the foundation of an action and are attached to the complaint and incorporated therein by reference become a part of the complaint and may also be considered on demurrer. (*City of Pomona v. Superior Court* (2001) 89 Cal.App.4th 793, 800.)

Although the *existence* of a document may be judicially noticeable, the truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable.

(*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.)

The Court **GRANTS** Defendant’s unopposed request for judicial notice as to exhibits A, B, and C, and

GRANTS Plaintiff's request as to exhibits 1 through 7. These materials consist of pages from Defendant's own website, the existence and content of which are not reasonably subject to dispute, and to which Plaintiff refers in the Complaint. (See Initial Complaint Filed ("Compl.") at 4, fn. 4; 8, fn. 6.)

Fairway objects to Mr. Penning's exhibits two through seven on the ground that Mr. Penning does not establish when or how the screenshots were obtained or that they reflect the version of the website that existed when he visited it. (Response to Plaintiff's Objections to Defendant's Request for Judicial Notice ("Def. Obj.") at 2:25-28.) That objection is overruled as a basis to decline notice, but the concern it raises is well taken and the Court accounts for it in the scope of its notice: the Court takes judicial notice only of the existence and content of these exhibits, but not of the truth of any disputed matter asserted therein or of any contested inferences as to what Plaintiff encountered during his visit to the website. This limitation applies equally to Defendant's Exhibit A and to Plaintiff's Exhibits one through seven, neither of which bears a date contemporaneous with Plaintiff's alleged visit as Plaintiff does not allege a date.

The Court **DENIES** Defendant's request as to exhibits D and E. The privacy policies of third parties, Yahoo and Meta, are not statutes, official records, or matters of common knowledge, and Plaintiff disputes their authenticity and applicability. (See Evid. Code, § 452.) That information appears on the internet does not render it free from reasonable dispute. (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn. 10.) Nor are these policies incorporated by reference into the Complaint, which refers to Plaintiff's use of social media platforms but does not rely on or quote their privacy policies. (Compl. at 14:6-12.) Exhibits D and E are not properly subject to judicial notice.

II. Factual Allegations

This case arises out of Plaintiff's allegations that a mortgage company violated consumers' privacy by failing to honor website visitors' decisions to opt out of cookies.

Plaintiff Ed Penning alleges he accessed Defendant Fairway Independent Mortgage Corporation's website (www.fairway.com) seeking a quote for a home mortgage loan using his laptop computer from his home in El Cerrito, California. (Compl. at 1:9, 13:17-18.) Mr. Penning's Complaint does not specify when he accessed Defendant's website.

Plaintiff's Complaint alleges that a visitor to www.fairway.com is immediately met with a pop-up banner overlayed on all pages of the website that "persists on every page unless and until the user interacts with it" by selecting either "I accept" or "I decline." (Compl. at 8:10-14.) The banner reads as follows:

We use cookies and other tracking technologies to improve your browsing experience on our website, to show you personalized content, to analyze our website traffic, and to understand where our visitors are coming from. [View our full cookie policy here.](#)

(Compl. at 8:6-7, 15-24 (emphasis in original).)

The “[View our full cookie policy here.](#)” text is a hyperlink that takes the user to Fairway’s “Cookie Policy.” (Compl. at 8:13-14. 25-26.) Fairway’s Cookie Policy is part of a broader webpage entitled “Privacy Policy,” which is organized into four subdivisions entitled: (1) “PRIVACY POLICY -- Read about the type of data we collect and how we use it[;]” (2) “COOKIE POLICY – Learn how we use cookies to improve your website experience[;]” (3) “WHAT DOES FAIRWAY DO WITH MY INFORMATION[;]” and (4) “THE CALIFORNIA CONSUMER PRIVACY ACT.” (Def. RJN, Ex. C at 1.)

The Cookie Policy defines cookies as follows:

Cookies are small pieces of text. They are provided by most websites and stored by your web browser on the computer, phone, or other device that you are using. Cookies serve many purposes. They can help a website remember your preferences, learn which areas of the website are useful and which areas need improvement, and provide you with targeted advertisements or personalized content. Sometimes, cookies are enabled when pixels are placed on a website. Pixels are also referred to as web beacons, clear gifs, and tags. They enable websites to read and place cookies.

(Def. RJN, Exhibit C at 10.)

The Cookie Policy explains that Defendant’s website uses both first and third-party cookies of the following varieties: Strictly Necessary Cookies, Performance Cookies, Functional Cookies, Targeting Cookies and Social Media Cookies. (Def. RJN, Exhibit C at 12.)

In a separate subdivision of the same webpage under the heading “PRIVACY POLICY,” Defendant states that

[Fairway’s] system logs may record certain information about visitors to our Sites, including the web request, Internet Protocol (“IP”) address, device and mobile ad identifiers, browser information, interaction with the Sites, pages viewed, app usage, and other such information; we may collect similar information from emails you receive from us that can help us track which emails are opened and which links are clicked by recipients.

(Def. RJN, Exhibit C at 2-3.)

In the subdivision addressing the California Consumer Privacy Act, Fairway states that it gathers this information using cookies and directly from the user during the course of filling out a mortgage application or as the company services their mortgage loan. (Def. RJN, Exhibit C at 21-22.) In that same subdivision, Fairway also states that the company does not sell users’ personal information. (*Id.*, Exhibit C at 21.)

The Complaint alleges however that “[e]ven after visitors click ‘I decline’ on the cookie banner, Defendant installs, at minimum, the following third-party trackers and cookies on the visitors’

browsers as they navigate Defendant's website. ... (a) Verisk Marketing Solutions' (a/k/a Jornaya)'s "leadID," "uuid," "rguuid," and "rguserid" cookies[;] (b) DoubleClick's "IDE" cookie[;] (c) YouTube's "YSC" cookie[;] (d) Google's "NID" and "AEC" cookies[;] [and] (e) AdTheorent's "barometric[cuid]" cookie." (Compl. at 9:13-22.)

The Complaint further alleges that these third-party trackers and cookies operate by means of the HTTP "GET" and "POST" requests exchanged between a visitor's browser and Defendant's servers, such that when a visitor loads a page or enters information into a form, the trackers "instantaneously intercept and duplicate communications sent between the visitor's browser and the website's server." (Compl. at 5:13-5:28, 6:23-7:8.) Plaintiff alleges that the trackers transmitted each of the visitor's actions to the Third Parties "alongside and contemporaneously with the user initiating the communication[,]" and that the communication was therefore "intercepted in transit to the intended recipient (Defendant) before they reached Defendant's servers." (*Id.* at 21:4-7.)

When Mr. Penning accessed Defendant's website and was presented with the cookie banner, he alleges that he selected "I decline." (Compl. at 14:3-5.) In the course of applying for a home mortgage loan on www.fairway.com, Mr. Penning alleges that he "followed the application flow on Defendant's website" and that when he filled out the application, Fairway collected the following information from him: his first and last name, his email address, his phone number, the amount of the mortgage loan he sought, his credit score, his zip code, the type of home he sought to finance, and whether the home was his primary residence. (*Id.* at 13:19-14:2.)

Mr. Penning alleges in his Complaint that he reasonably expected that his online communications with Fairway were "confidential, solely between himself and Defendant, and that, as such, those communications would not be transmitted to or intercepted by a Third Party." (Compl. at 14:13-15.)

He further alleges in his Complaint "on information and belief" that Defendant disclosed the following information collected from his loan application and through cookies and tracking technology to third parties: the pages and content he viewed, the fact that he was seeking a mortgage, the specific mortgage products for which he sought a quote, his first and last name, his email address, his phone number, the amount of the mortgage loan he sought, his credit score, his zip code, the type of home he sought to finance, whether the home was his primary residence, and "additional identifying information unique to Plaintiff, including his IP address and unique identifying cookies set by Third Parties." (*Id.* at 14:23-15:11.)

The Complaint alleges that Fairway profited from collecting and disclosing Mr. Penning's personal information:

...through one or more mechanisms, as-yet unknown to Plaintiff, which include: (1) increased payments from the placement of ads on Defendant's website, (2) direct payments from Third Parties, (3) free or reduced cost for services, including services related to the implementation and monitoring of Defendant's website, and/or (4) the ability to purchase ad space on other websites at a reduced price

or at a greater value for the same price[.]

(Compl. at 16:1-6.)

Finally, Mr. Penning alleges that because Fairway “actively concealed its use of cookies and trackers by providing an illusory opt-out function that did not, in fact, accomplish an opt-out[.]” the applicable statutes of limitations have been tolled. (Compl. at 16:12-13.)

On December 4, 2025, Plaintiff filed this class action complaint alleging CIPA violations under Penal Code sections 631, 632, and 638.51, as well as breach of contract, and violation of California’s Unfair Competition Law under Business and Professions Code section 17200.

III. Meet and Confer

Prior to filing a demurrer, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading subject to demurrer at least five days before the date a responsive pleading is due. (Code Civ. Proc., § 430.41.) Defendants met their statutory burden when they met telephonically with Plaintiff’s counsel on February 13, 2026, to discuss the substance of Defendant’s objections as further stated in the instant demurrer. (Declaration of Justin Penn in support of Demurrer to Complaint (“Penn Dec.”) at 2:11-13.)

IV. Legal Standard

“A demurrer tests the sufficiency of the complaint by raising questions of law.” (*Schmidt v. Foundation Health* (1995) 35 Cal.App.4th 1702, 1706.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer does not test the truth or accuracy of the facts alleged in the complaint; the court assumes the truth of all properly pleaded factual allegations. (*Los Altos Golf & Country Club v. County of Santa Clara* (2008) 165 Cal.App.4th 198, 203; *Evans v. City of Berkeley* (2006) 38 Cal.4th 1, 6.) “[T]he question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496.)

A complaint “is sufficient if it alleges ultimate rather than evidentiary facts” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550), but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) “[D]emurrer [is not] the appropriate procedure for determining the truth of disputed facts or what inferences should be drawn where competing inferences are possible.” (*CrossTalk Productions, Inc. v. Jacobson* (1998) 65 Cal.App.4th 631, 635.)

“Plaintiff may allege on information and belief any matters that are not within his personal knowledge, if he has information leading him to believe that the allegations are true.” (*Pridonoff v. Balokovich* (1951) 36 Cal.2d 788, 792.)

The complaint must be “liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc. § 452.) “[I]f it appears that the plaintiff is entitled to any relief against the defendant,

the complaint will be held good, even though the facts may not be clearly stated.” (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 896.) Regardless of whether a Plaintiff has requested leave to amend, it is an abuse of discretion to sustain a demurrer to an initial complaint without leave to amend unless the complaint shows on its face that it is incapable of amendment. (*Cabral v. Soares* (2007) 157 Cal.App.4th 1234, 1240; *Eghtesad v. State Farm General Ins. Co.* (2020) 51 Cal.App.5th 406, 411.)

V. Analysis

A. Consent Does Not Defeat the Complaint at the Pleading Stage

Fairway’s principal argument is that Plaintiff consented to the transmission of his information to third parties, and that this consent defeats every cause of action. (Demurrer to Complaint (“Dem.”) at 12:1-3.) Fairway is correct that each of Plaintiff’s California Invasion of Privacy (“CIPA”) claims requires conduct undertaken without consent. (*Id.* at 12:4-12; *See* Pen. Code, §§ 631(a), 632, 638.51(b)(5).) Consent, however, does not support sustaining the instant demurrer, because it presents a factual question that cannot be resolved against Plaintiff on the pleadings.

A demurrer tests the legal sufficiency of the complaint and admits the truth of all properly pleaded material facts. (*Schmidt, supra*, 35 Cal.App.4th at 1706; *Blank, supra*, 39 Cal.3d at 318; *Los Altos Golf & Country Club, supra*, 165 Cal.App.4th at 203; *Evans, supra*, 38 Cal.4th at 6.) Whether the plaintiff can later prove those facts is irrelevant to the reviewing court. (*Alcorn, supra*, 2 Cal.3d at 496.)

Here, the Complaint does not plead consent, it pleads its absence. (Compl. at 14:3-5.) Plaintiff alleges that he was presented with the cookie banner, that he clicked “I decline” for the specific purpose of refusing the tracking he now challenges, and that Fairway deployed third-party trackers and cookies notwithstanding his declination. (*Id.* at 14:3-5, 14:23-15:11.) These allegations, taken as true (as they must be on demurrer), establish the opposite of the consent Fairway asserts. Consent thus operates here not as a defect in the Complaint, but as a defense, and a demurrer may not be sustained on a defense that does not appear from the face of the pleading. (*Casterson v. Superior Court* (2002) 101 Cal.App.4th 177, 183; *CrossTalk Productions, Inc., supra*, 65 Cal.App.4th at 635.) The face of the pleading affirmatively alleges non-consent. (*Id.* at 14:3-5.)

Even setting that aside, consent ordinarily presents a factual question that is not amenable to resolution on the pleadings alone. In *Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, the California Supreme Court declined to find that plaintiffs had validly consented to a pat-down search as a matter of law, explaining that the record at the demurrer stage did not establish valid consent and that “[f]urther factual development [was] necessary.” (*Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, 998.) Federal courts applying CIPA have reached the same conclusion: an evidence-bound determination that a plaintiff actually consented to a defendant’s tracking is inappropriate at the pleading stage. (*Doe v. Meta Platforms, Inc.* (N.D.Cal. 2023) 690 F. Supp. 3d 1064, 1077-1078; *see Vishal Shah v. Cap. One Fin. Corp.* (N.D.Cal. 2025) 768 F. Supp. 3d 1033, 1054 [rejecting a financial institution’s argument on a motion to dismiss that its privacy policy established the plaintiff’s consent to third-party tracking “[b]ecause consent is a factual determination, it cannot be determined on the pleadings”].)

The same is true here. Fairway's consent argument asks the Court to conclude as a matter of law, on the basis of its judicially noticed policies, that Plaintiff actually consented to the very tracking he explicitly alleged he declined. That is an evidence-bound determination the Court cannot make on demurrer.

Because the Complaint alleges that Plaintiff declined consent, and because consent cannot be resolved against Plaintiff at the pleading stage where Plaintiff has adequately pleaded lack of consent, Fairway's consent argument does not provide a basis to sustain the demurrer as to any cause of action.

Fairway's reliance on its judicially noticed materials does not change this result. As set forth above, the Court has taken notice of Exhibit A and of Plaintiff's exhibits 1 through 7 only for their existence and content, and not for the truth of any contested inferences as to what Plaintiff encountered when he visited the website. Those materials therefore cannot establish, as a matter of law, that Plaintiff saw and assented to Fairway's Terms of Service and Privacy Policy. And even considered only for what they contain, the materials do not reflect the notice-and-assent structure Fairway's argument requires. Fairway contends that, before entering any information, Plaintiff would have agreed to its Terms of Service and Privacy Policy, and that those documents disclosed the transmission Plaintiff now challenges. (Dem. at 12:16-13:28.) Fairway characterizes the arrangement as a "sign-in-wrap" agreement, under which a user is bound by terms presented through a hyperlink where the user is required to take an affirmative step manifesting assent. (Dem. at 12:22-24; *See Silver v. Stripe, Inc.* (N.D. Cal. 2021) 2021 U.S. Dist. LEXIS 141090 at 8.)

Sign-in wrap agreements do include a textual notice indicating the user will be bound by the terms, but they do not require the consumer to review those terms or to expressly manifest their assent to those terms by checking a box or clicking an "I agree" button. Instead, the consumer is purportedly bound by clicking *some other* button that they would otherwise need to click to continue with their transaction or their use of the website—most frequently, a button that allows the consumer to "sign in" or "sign up" for an account. Thus, it is not apparent that the consumer is aware that they are agreeing to contractual terms simply by clicking some other button. Instead, "the consumer's assent is 'largely passive...'"

(*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 471 quoting *Selden v. Airbnb, Inc.* (D.D.C. Nov. 1, 2016) U.S. Dist. LEXIS 150863, at 11.)

The enforceability of such an agreement turns on whether the terms were presented in a manner that would put a reasonably prudent user on notice, which depends on the conspicuousness of the notice and its proximity to the act said to constitute assent. (*Sellers, supra*, 73 Cal.App.5th at 471; *Berman v. Freedom Fin. Network, LLC* (9th Cir. 2022) 30 F.4th 849, 856-857.) An enforceable agreement requires both that the website provide reasonably conspicuous notice of the terms and that the user take some action that unambiguously manifests assent to those terms; a user's action manifests assent

“only if the user is explicitly advised that the act ... will constitute assent.” (*Patrick v. Running Warehouse, LLC* (9th Cir. 2024) 93 F.4th 468, 477 quoting *Berman, supra*, 30 F.4th at 857.) A notice that does not convey to the user what action will constitute assent to terms does not establish an enforceable agreement. (*Berman, supra*, 30 F.4th at 857.)

Fairway’s authorities do not establish otherwise. Fairway relies on *Silver v. Stripe Inc.*, and *Patrick v. Running Warehouse, LLC*, but in both cases, the notice advising the user that proceeding would constitute assent appeared together with the act said to manifest assent. (*Silver v. Stripe, Inc., supra*, 2021 U.S. Dist. LEXIS 141090 at 9-10 [notice was “close to the ‘place order’ button,” such that it was “hard for a user placing an order to miss it”]; *Patrick, supra*, 93 F.4th at 477 [“explicit notice on the final order review page, directly below key information such as the purchase total, and directly below the button [plaintiff] tapped to complete his purchase”].)

Here, by contrast, in the screens Fairway and Plaintiff have submitted, the agreement language appears on the first screen, while the fields for entering contact information appear only on the seventh screen. (Def. RJN, Exhibit A; Plaintiff’s RJN & Objections, Exhibits 2-7.) In those materials, the notice appearing on the screens that contain fields for user input, including the screen depicting the contact-information fields, starts only that the user may “click to view” the policies; it does not advise the user that proceeding or entering information will constitute assent. (*Ibid.*) Under the very standard Defendant invokes, an action manifests assent only if the user is “explicitly advised” that the action will constitute assent. (*Patrick, supra*, 93 F.4th at 477; *Berman, supra*, 30 F.4th at 857.) Fairway’s contention that the policies were “repeatedly presented” through these later screens does not cure the problem; repeated invitations to “click to view” the policies are not repeated notices that proceeding constitutes agreement to them. (Reply Brief in Support of Demurrer to Complaint (“Reply”) at 5:11-12.)

Moreover, the same notice on which Fairway relies states that “[c]onsent is not required to use our services.” (Def. RJN, Exhibit A.) That statement introduces further ambiguity as to whether a visitor’s continued use of the site manifests assent to the Terms of Service and Privacy Policy at all. Whether Fairway’s notice was sufficiently conspicuous and proximate to bind Mr. Penning cannot be resolved in Fairway’s favor on these materials at this stage of the proceedings.

A further consideration confirms that consent is not suited to resolution on demurrer here. A demurrer is not the procedure for determining the truth of disputed facts or for selecting among competing inferences where more than one inference may reasonably be drawn. (*CrossTalk Productions, Inc., supra*, 65 Cal.App.4th at 635.) The noticed screenshots were captured in 2026, and the Complaint does not allege when Mr. Penning visited Fairway’s website. The Court therefore cannot infer in Fairway’s favor, that the noticed materials reflect what Plaintiff encountered when he visited the site, or that he proceeded through the sequence in a manner manifesting assent. For these reasons as well, the judicially noticed materials do not establish that Mr. Penning consented.

Accordingly, Fairway’s consent argument does not provide a basis to sustain the demurrer. This conclusion does not, however, establish that any particular cause of action is adequately pleaded. Because consent is not a proper ground for sustaining the demurrer, the Court addresses each cause

of action on its own elements, mindful that several of Fairway's remaining arguments are independent of consent.

B. Penal Code § 631

Penal Code section 631(a) defines four categories of prohibited conduct. The first reaches a person "who by means of any machine, instrument, or contrivance, or in any other manner, intentionally taps, or makes any unauthorized connection ... with any telegraph or telephone wire, line, cable, or instrument, including the wire, line, cable, or instrument[.]" (Pen. Code, § 631(a).) The second reaches a person "who willfully and without the consent of all parties to the communication, or in any unauthorized manner, reads, or attempts to read, or to learn the contents or meaning of any message, report, or communication while the same is in transit[.]" (*Ibid.*) The third reaches a person "who uses, or attempts to use" any information obtained through the first two clauses. The fourth reaches a person "who aids, agrees with, employs, or conspires with" another to commit any of the foregoing acts. (*Ibid.*; see *Swarts v. Home Depot, Inc.* (N.D.Cal. 2023) 689 F. Supp. 3d 732, 743-746.) Because a demurrer does not lie to part of a cause of action (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682), the first cause of action survives if Plaintiff has stated a claim under any of these clauses.

i. First Clause

The first clause does not apply here. By its terms it reaches only unauthorized connections with a "telegraph or telephone wire, line, cable, or instrument," and courts have consistently held that it does not extend to communications over the internet. (*Swarts, supra*, 689 F. Supp. 3d at 743; *Licea v. Am. Eagle Outfitters, Inc.* (C.D.Cal. 2023) 659 F. Supp. 3d 1072, 1081.) Mr. Penning alleges he communicated with Fairway over the internet using a laptop computer, not through any telephonic instrument, and he does not oppose the demurrer as to the first clause. The first clause therefore provides no basis for liability. (Compl. at 13:17-18.)

i. Second Clause

Fairway advances two arguments against the second clause. (Dem. at 15:22-23, 25-26.) Neither supports sustaining the demurrer.

First, Fairway invokes the "party exception" – because Mr. Penning communicated with Fairway, Fairway was a party to the communication and cannot be liable for eavesdropping on its own conversation. (Dem. at 15:15-23; see *Rogers v. Ulrich* (1975) 52 Cal.App.3d 894, 899 (disapproved on other grounds by *In re Arias* (1986) 42 Cal.3d 667, 680, fn. 11).) But the Complaint does not allege that Fairway eavesdropped on its own communications. It alleges that Fairway embedded third-party trackers that enabled third parties, Google, DoubleClick, YouTube, Verisk/Jornaya, and AdTheorent, to intercept Plaintiff's communications in order to "read[], learn[], and exploit[]" those communications and to "intercept, store, use, and re-sell detailed information gleaned from homeowners and other website visitors' interactions with Fairway's site." (Compl. at 1:19-23, 2:1-2, 5:3-8, 21:8-20.) It further alleges that Fairway aided those third parties in doing so. (*Ibid.*) The party exception does not shield a defendant from liability for assisting a third party's interception, as alleged here.

Courts applying the party exception distinguish between a third party that functions as a mere tool or extension of the website operator, simply furnishing the intercepted data back to the operator, and a

third party that intercepts the data for its own independent purposes. (*Licea v. Am. Eagle Outfitters, Inc.* (C.D.Cal. 2023) 659 F. Supp. 3d 1072, 1082.) Where the third party is alleged only to relay information back to the defendant, it is treated as the defendant's instrument, much like a tape recorder, and no third-party interception is stated. (*Id.* at 1082-1083.) Where, however, the third party "monitors, analyzes, and stores information about visits to [defendant's] websites, and that [third party] can use that information for other purposes ... this is 'beyond the ordinary function of a tape recorder.'" (*Javier v. Assur. IQ LLC* (N.D.Cal. 2023) 649 F. Supp. 3d 891, 900; *see also Yoon v. Lululemon United States* (C.D.Cal. 2021) 549 F. Supp. 3d 1073, 1081 [a third-party who captures, stores, and interprets a website visitor's real-time data extends beyond the ordinary function of a tape recorder for the purposes of the party exception].)

Plaintiff's Complaint alleges the latter. Plaintiff alleges that the third parties do not merely return his information to Fairway, but intercept, store, use, and re-sell it for their own independent purposes, including building individualized advertising profiles, selling targeted advertising, and re-selling the data to others. (Compl. at 2:1-2, 2:23-3:4, 11:1-4, 19-24.) Taken as true, those allegations place this case squarely within *Javier* and *Yoon*, not within the "mere tool" cases. The party exception therefore does not defeat the second clause theory on demurrer.

Second, Defendant argues that the Complaint does not adequately allege interception "in transit," and that Plaintiff's allegations are internally inconsistent: paragraph 96 alleges that Fairway "recorded" the communications and then "transmitted" them to third parties, which Fairway contends describes a recording made after receipt rather than an interception made in transit, while paragraph 99 alleges contemporaneous interception. (Dem. at 15:25-17:4; Compl. at 20:14-16, 21:4-7; *see Manti v. Gunari* (1970) 5 Cal.App.3d 442, 449-450.)

Read as a whole and liberally construed, the Complaint alleges that the trackers operate by duplicating a user's communications in real time, as they interact with the website, and transmitting them to the alleged third parties before these communications reach Fairway's servers. (Compl. at 6:21-7:3; 21:4-7.) Combined with the allegations that the third parties intercept the data to analyze and exploit it for their own advertising purposes (*Id.* at 2:1-2, 2:23-3:4, 11:1-4, 19-24), these allegations support the inference that the third parties read or attempted to read the contents of Mr. Penning's communications with Fairway while in transit. Courts have held that allegations of simultaneous, real-time interception adequately plead the in-transit element at the pleading stage, however. (*D'Angelo v. FCA US, LLC* (S.D.Cal. 2024) 726 F. Supp. 3d 1179, 1198.)

"While a plaintiff must do more than "merely restate[] the pleading requirement of real time interception," the standard is not overly burdensome.' [citation] '[A]llegations that [communications] are intercepted in real time through the use of computer code provides sufficient factual detail to support the "in transit" requirement.' [citation]."

(*Doe v. Tenet Healthcare Corp.* (E.D.Cal. 2025) 789 F. Supp. 3d 814, 838.)

Here, Plaintiff alleges that third parties duplicated, intercepted, and shared in real time communications sent between the visitor's browser and the Defendant's website via third-party trackers embedded in Defendant's website. (Compl. at 6:21-7:8.) This is adequate at the pleading stage.

Fairway's contrary authorities do not compel a different result on demurrer. Fairway relies primarily on *Rogers, supra*, 52 Cal.App.3d 894, for the proposition that a recording made by a participant does not intercept a message while in transit. (*Rogers, supra*, 52 Cal.App.3d at 898.) But *Rogers* involved a party to the conversation recording it for his own use, not a third party intercepting it in real time. (*Id.* at 897-898.) The party exception and the in-transit requirement address different questions: the former asks who is listening, the latter asks when. As discussed *ante*, Mr. Penning does not allege that Fairway recorded its own communications; he alleges that third parties, acting for their own independent purposes, intercepted his communications contemporaneously with transmission. *Rogers* does not speak to that scenario. Fairway's reliance on *Swarts* and *Licea* fares no better at this stage as both courts evaluated the in-transit element on specific factual records and pleadings that failed to allege contemporaneous interception. Here, the Complaint does allege it. Whether the evidence ultimately supports that allegation is a question for another day. (*Alcorn, supra*, 2 Cal.3d at 496.)

Fairway's contention that the allegations are contradictory and must be construed against Plaintiff does not warrant a different result. The asserted inconsistency between paragraphs 96 and 99 is not irreconcilable; the Complaint alleges both that the trackers operate contemporaneously with Plaintiff's communications and the intercepted information is transmitted to third parties. Construing the Complaint liberally, as the Court must (Code Civ. Proc. § 452), it alleges contemporaneous third party interception. (*CrossTalk Productions, Inc., supra*, 65 Cal.App.4th at 635 [demurrer is not the procedure for determining the truth of disputed facts or selecting among competing inferences].)

i. Third and Fourth Clauses

The third and fourth clauses are derivative. A violation of the third clause, which prohibits the use of unlawfully obtained information, is contingent on a violation of the first or second clause. (*Swarts, supra*, 689 F. Supp. 3d at 744.) Because Mr. Penning has adequately alleged a violation of the second clause, and further alleges that the third parties used the intercepted information to build advertising profiles, serve targeted advertising, and resell the data (Compl. at 2:23-3:4, 11:1-4, 19-24), the third-clause theory survives.

The fourth clause imposes liability on one who "aids, agrees with, employs, or conspires with" another to commit a violation of the first three clauses, and requires an underlying predicate violation by the aided party. (Pen. Code, § 631(a); *Swarts, supra*, 689 F. Supp. 3d at 744.) Plaintiff alleges that the third parties violated the second clause by intercepting his communications in transit, and that Fairway aided them by embedding their trackers on its website and controlling what information was transmitted. (Compl. at 21:8-20.) Those allegations adequately plead a predicate violation and Fairway's assistance.

In reply, Fairway argues for the first time that the fourth clause required Plaintiff to allege that Fairway knew the third parties intended to violate CIPA, relying on *Esparza v. UAG Escondido A1 Inc.* (S.D.Cal.

Feb. 12, 2024) 2024 U.S.Dist.LEXIS 24429. (Reply at 8:10-19.) This argument does not warrant sustaining the demurrer, for three reasons. As an initial matter, it was raised for the first time in reply. (*American Drug Stores, Inc. v. Stroh* (1992) 10 Cal.App.4th 1446, 1453 “[p]oints raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument.”). In any event, even assuming the fourth clause requires knowledge, the Complaint alleges it: Plaintiff alleges that Fairway “knew that the installation of the trackers and cookies on its website would result in the unauthorized disclosure of customers’ communications to Third Parties” and that Fairway controlled which pages contained the trackers and what information they transmitted. (Compl. at 21:11-18.) Those allegations suffice to allege knowledge at the pleading stage.

Accordingly, although the first clause does not apply, the Complaint states a claim under the second, third, and fourth clauses of Penal Code section 631(a); consequently, the demurrer to the first cause of action is **OVERRULED**.

C. Penal Code § 632

Penal Code section 632 prohibits the intentional eavesdropping upon or recording of a “confidential communication” without the consent of all parties. (Pen. Code, § 632(a).) A communication is confidential if a party to it “has an objectively reasonable expectation that the conversation is not being overheard or recorded.” (*Flanagan v. Flanagan* (2002) 27 Cal.4th 766, 768.) This excludes communications made in any circumstance in which “the parties to the communication may reasonably expect that the communication may be overheard or recorded.” (Pen. Code, § 632(c).)

Fairway relies on *Swarts, supra*, 689 F. Supp. 3d at 747, for the proposition that “A plain reading of [Section 632] itself makes clear that the statute only applies to communications transmitted by telephone, not internet.” (*Swarts, supra*, 689 F. Supp. 3d at 746-747; Dem. at 17:19-20.) That court’s conclusion relied on the text of a different statute. The language the *Swarts* court quoted and analyzed, prohibiting the interception of “a communication transmitted between two cellular radio telephones, a cellular radio telephone and a landline telephone, two cordless telephones, a cordless telephone and a landline telephone, or a cordless telephone and a cellular radio telephone...” is the text of Penal Code section 632.7, not Penal Code section 632. (*Compare* Pen. Code, § 632.7(a) with *id.*, Pen. Code, § 632(a).) Penal Code section 632, by contrast, prohibits using “an electronic amplifying or recording device to eavesdrop upon or record the confidential communication, whether the communication is carried on among the parties in the presence of one another or by means of a telegraph, telephone, or other device, except a radio...” (Pen. Code, § 632(a) (emphasis added).) Courts applying that language have held that website tracking software of the kind alleged here qualifies as a “device” within the meaning of Penal Code section 632. (*Doe v. Meta Platforms, Inc.*, *supra*, 690 F. Supp. 3d at 1080 [pixel software is a device under Penal Code § 632(a)]; *Smith v. Rack Room Shoes, Inc.* (N.D.Cal. Apr. 4, 2025) 2025 LX 171494, at 15 [same, collecting cases]; *Libman v. Apple, Inc.* (N.D.Cal. Sep. 26, 2024) 2024 U.S.Dist.LEXIS 175118, at 46-47 [collecting cases finding software is a device under Penal Code § 632(a)].) Because the “plain reading” on which the *Swarts* court relied derived from the telephone-specific text of Penal Code section 632.7, and because the tracking software the Complaint alleges here is itself a “device” under Penal Code section 632’s own

terms, Fairway's contention that Penal Code section 632 is limited to telephonic communications does not withstand scrutiny.

Fairway further argues that Mr. Penning's communications were not confidential because communications transmitted over the internet are not private and because Plaintiff, in dealing with a mortgage intermediary, necessarily expected his information to be shared. (Dem. at 17:18-24, 17:27-18:4; Reply at 8-9.)

Some courts have held that ordinary internet communications are not confidential for the purposes of section 632. (*Campbell v. Facebook Inc.* (N.D.Cal. 2014) 77 F. Supp. 3d 836, 838-839, 849 [private messages between Facebook users not confidential under Penal Code § 632]; *People v. Nakai* (2010) 183 Cal.App.4th 499, 518 [Yahoo! chat dialogue not confidential under Penal Code § 632]; *In re Google Inc. Gmail Litig.* (N.D.Cal. Sep. 26, 2013) 2013 U.S.Dist.LEXIS 172784, at 84 [emails not confidential under Penal Code § 632].) But whether a particular communication is confidential is a "fact intensive inquiry" that depends on the circumstances, and courts have recognized that the analysis differs where a plaintiff transmits sensitive personal or financial information rather than engaging in routine browsing. (*Vishal Shah v. Cap. One Fin. Corp.* (N.D.Cal. 2025) 768 F. Supp. 3d 1033, 1041, 1054 [plaintiffs' allegation that Defendant's website transmitted to third parties the specific page viewed by the customer, the customer's IP address, cookies, and personal and financial information, was sufficient to support a claim for a violation of Penal Code § 632 at the pleadings stage]; *Smith v. Rack Room Shoes, Inc.*, *supra*, U.S.Dist.LEXIS 70510, at 3-4, 14-15 [Penal Code § 632 claim survived where third-party code captured user's search queries, items viewed and placed in cart, user's name, address, phone number, email and other personally identifying information].)

The reasonable-expectation inquiry under Penal Code section 632 turns on whether Plaintiff could reasonably expect that his communications would not be overheard, not on whether he expected Fairway to make any use whatsoever of the information it collected. A person who submits information to a mortgage lender necessarily expects the lender to process that information in connection with the loan they are seeking. That expectation does not, without more, establish that they also expected independent third parties, here, advertising and data companies with no role in the mortgage transaction, to intercept the user's communications in real time, before they reached Fairway, for purposes of profiling and resale. (Compl. at 1:24-2:2, 2:23-3:4, 11:1-4, 19-24.) The Complaint alleges that Defendant collected sensitive financial information, including Plaintiff's credit score and the loan amount he sought, after clicking "I decline" on a banner that he understood to refuse such tracking. (*Id.* at 13:19-14:5, 14:13-15.) Whether a person in that position reasonably expected that submission to result in covert interception by unrelated third parties is a fact-bound question that cannot be resolved against Plaintiff on the pleadings.

For the same reasons, Fairway's argument that Mr. Penning, by understanding Fairway to be a mortgage intermediary, "necessarily knew the information entered would be shared with third parties" does not warrant sustaining the demurrer. (Dem. at 17:27-18:4 citing Complaint at ¶¶ 18, 49, 62.) That Mr. Penning understood Fairway would share information with lenders and others involved in processing his mortgage application does not establish, as a matter of law, that he also expected

independent advertising and data companies with no connection to that transaction to intercept his communications for their own commercial purposes. The two are not the same expectation and the Complaint does not concede the latter.

Fairway separately contends that Plaintiff admitted he had no reasonable expectation of privacy. (Reply at 9:1-6.) Fairway represents that “Plaintiff admits [in his opposition] that he anticipated that the information that he provided to Fairway through the application process to be transmitted to third-parties,” and that this admission defeats confidentiality under Penal Code section 632. (*Id.* at 9:1-17.) The Court does not agree.

Fairway’s own Reply quotes the sentence from Plaintiff’s opposition in full: “[t]he submission of sensitive PII as part of obtaining a quote for a personal financial loan, particularly where a user has been presented with an explicit privacy decision through an Opt-Out Banner, plainly gives rise to a reasonable expectation that such communications will not be recorded and disclosed to third parties for purposes other than acquiring a mortgage[.]” (*Id.* at 3-6 quoting Opp. at 11:11-15 (emphasis added).) That sentence does not concede that Plaintiff expected the type of third-party interception alleged here; to the contrary, it expressly limits the scope of any expected disclosure purposes to those connected with acquiring a mortgage.

Fairway’s characterization of this as an unqualified admission disregards the very limitation its own quotation contains. In any event, a statement in a brief is not a substitute for the allegations of the Complaint, which allege that Plaintiff expected his communications to remain confidential between himself and Fairway and not to be transmitted to or intercepted by third parties. (Compl. at 14:13-15.) The purported admission does not establish the absence of a confidential communication.

Fairway’s reply also asserts, “upon information and belief” that Plaintiff has filed other CIPA actions under a different name, and argues that this bears on whether he had a reasonable expectation of privacy here. (Reply at 9, fn. 3.) That assertion is not a proper subject of judicial notice, and was raised for the first time in reply. The Court does not consider it. (*American Drug Stores, Inc.*, *supra*, 10 Cal.App.4th at 1453.)

Accordingly, the demurrer to the second cause of action is **OVERRULED**.

D. Penal Code section 638.51

Penal Code section 638.51 prohibits the installation or use of a “pen register” or “trap and trace device” without a court order, subject to statutory exceptions including consent. (Pen. Code, § 638.51(a), (b)(5).) A “pen register” is defined as “a device or process that records or decodes dialing, routing, addressing, or signaling information transmitted by an instrument or facility from which a wire or electronic communication is transmitted, but not the contents of a communication.” (Pen. Code, § 638.50(b).) A “trap and trace device” is defined as “a device or process that captures the incoming electronic or other impulses that identify the originating number or other dialing, routing, addressing, or signaling information reasonably likely to identify the source of a wire or electronic communication, but not the contents of a communication.” (Pen. Code, § 638.50(c).)

Fairway raises four arguments against this cause of action: (1) that Plaintiff consented to the conduct

alleged; (2) that a device capturing content cannot, by definition, be a pen register or a trap and trace device; (3) that the specific information Plaintiff alleges was collected constitutes content rather than routing or addressing information; and (4) that, under the rule of lenity, CIPA in its entirety should be construed to apply only to telephonic communications. None warrants sustaining the demurrer to this cause of action.

Fairway's first argument that Mr. Penning consented to the alleged conduct fails for the reasons discussed above. (Section A. *ante*; Dem. at 18:11-17.) Consent is a factual question not resolvable against Plaintiff on the pleadings, and the Complaint alleges that Mr. Penning declined the tracking of which he complains. (Compl. at 14:3-5.)

Second, Fairway contends that the Complaint alleges the trackers captured the contents of Plaintiff's communications, and that, relying on general canons of statutory construction against surplusage, a device capturing content cannot also be a pen register or a trap and trace device under Penal Code section 638.50's definitions. (Dem. at 18-19; Reply at 9:19-10:13; see *Gonzales & Co. v. Dep't of Alcoholic Bev. Control* (1984) 151 Cal.App.3d 172, 178; *Handyman Connection of Sacramento, Inc. v. Sands* (2004) 123 Cal.App.4th 867, 892.)

This precise argument has been considered and rejected. In *In re Meta Pixel Tax Filing Cases* (N.D.Cal. 2025) 793 F. Supp. 3d 1147, 1152-1155, the defendant argued, as Fairway does here, that plaintiffs had "pleaded themselves out of a pen register claim" because CIPA precludes a device from being both a pen register that "records or decodes dialing, routing, addressing, or signaling information" and a wiretap that collects contents. (*Id.* at 1152-1153; Pen. Code, § 638.50(b).) There, the court rejected that argument, explaining that the statutory text does not clearly establish "two entirely nonoverlapping zones of regulation," and that it would be "highly unlikely" that the Legislature intended to permit the installation and use of pen registers so long as the same device also records the contents of a communication. (*In re Meta Pixel Tax Filing Cases, supra*, 793 F. Supp. 3d at 1153.) The court reasoned that the defendant's proposed reading "would allow any entity to avoid CIPA's pen register provisions simply by employing more intrusive forms of technology[,] a result inconsistent with CIPA's protective purpose. (*Id.* at 1154.)

Courts to consider this same argument in subsequent web-tracking cases have reached the same conclusion. (*Gabrielli v. Haleon US Inc.* (N.D.Cal. 2025) 815 F. Supp. 3d 852, 872; *Shah v. MyFitnessPal, Inc.* (N.D.Cal. Jan. 27, 2026) 2026 LX 43836, at 23.) While Fairway's authorities state general canons against surplusage, they do not address Penal Code section 638.51 or the specific question the courts in *In re Meta Pixel Tax Filing Cases*, *Gabrielli*, and *MyFitnessPal* resolved. The statutory definitions describe what information must be captured for a device to qualify as a pen register or trap and trace device; they do not state that a device is disqualified from that definition merely because it is also alleged to capture additional information beyond it. Fairway's proposed reading would insulate the most invasive tracking technology from a statute enacted to protect privacy, a result the weight of authority has declined to adopt.

As to Defendant's third argument related to content characterization, Fairway contends that allegations concerning the loan amount sought, the type of home to be financed, and whether the

home was Plaintiff's primary residence constitute "contents" of a communication, rather than routing or addressing information, under the definition applied to CIPA in *Brodsky v. Apple Inc.* (N.D.Cal. 2020) 445 F. Supp. 3d 110, 127; Dem. at 18:26-19:3.) Even accepting that characterization, it does not defeat the cause of action at the pleading stage for the reasons already discussed: a device that captures such information may still separately violate the pen register provision as to the routing and addressing information it also captures. Plaintiff alleges that the trackers captured routing and addressing information, including his IP address and device identifiers. (Compl. at 2:3-9, 10:26-28, 14:23-15:11, 23:23-25.) Whether particular categories of information Plaintiff alleges were collected constitute content, routing information, or both is a fact-bound question not resolvable in Fairway's favor on the pleadings.

As to Defendant's final argument grounded in the rule of lenity, Fairway contends that CIPA, in its entirety, including Penal Code section 638.51, should be construed to apply only to telephonic communications. (Dem. at 20:10-11.) For this proposition, Defendant relies on *Doe v. Eating Recovery Ctr. LLC* (N.D.Cal. 2025) 806 F. Supp. 3d 1109, however the Court does not read *Eating Recovery Ctr.* to compel that result. *Eating Recovery Ctr.* observed generally that CIPA's language is not well suited to modern technology and, on that basis, applied the rule of lenity to resolve a specific ambiguity concerning the relationship between the second clause of Penal Code section 631 and Penal Code section 632. (*Id.* at 1111-1112, 1114-1115, 1117.) The rule of lenity applies where genuine ambiguity remains after ordinary tools of construction are exhausted; it does not require adopting the narrowest conceivable reading of every provision of CIPA regardless of that provision's own text. Penal Code section 638.51's definitions apply, by their terms, to "dialing, routing, addressing, or signaling information transmitted by an instrument or facility from which a wire or electronic communication is transmitted," language that is not confined to telephone lines. (Pen. Code, §§ 638.51(a), 638.50(b).) Fairway's reliance on *Eating Recovery Ctr.*'s general observation about CIPA does not overcome the specific text of the statute Plaintiff invokes.

Even if the Court agreed with Fairway's definitional argument, that would not warrant sustaining the demurrer to this cause of action. A plaintiff may plead alternative and even inconsistent legal theories at the pleading stage, and it is not proper to force an election between theories a plaintiff has a right to plead. (*Third Eye Blind, Inc. v. Near North Entertainment Ins. Services, LLC* (2005) 127 Cal.App.4th 1311, 1323.) Should discovery show that the trackers captured only routing, addressing, or signaling information as to certain communications, Plaintiff may proceed on a pen register theory as to that conduct notwithstanding his allegations that the trackers also captured content in other respects.

Accordingly, the demurrer to the third cause of action is **OVERRULED**.

E. Breach of Contract

To state a claim for breach of contract a plaintiff must allege: (1) the existence of a contract; (2) the plaintiff's performance or excuse for nonperformance of the contract; (3) defendant's breach; and (4) damage to plaintiff resulting from the breach. (*State Comp. Ins. Fund v. ReadyLink Healthcare, Inc.* (2020) 50 Cal.App.5th 422, 449.) "[T]he vital elements of a cause of action based on contract are mutual assent (usually accomplished through the medium of an offer and acceptance) and

consideration.” (*Division of Labor Law Enforcement v. Transpacific Transportation Co.* (1977) 69 Cal.App.3d 268, 275.) Fairway contends that Mr. Penning has alleged neither consideration nor mutual assent. (Dem. at 20-21.)

“Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings.” (*Alexander v. Codemasters Group Limited* (2002) 104 Cal.App.4th 129.) The manifestation of assent is typically accomplished through offer and acceptance; an offer must be sufficiently definite such that the performance promised is reasonably certain. (*Ibid.*) “Reasonably certain” means the terms provide the basis for determining the existence of a breach and for giving an appropriate remedy. (*Ibid.*)

Consideration is “[a]ny benefit conferred, or agreed to be conferred, upon the promisor, by any other person, to which the promisor is not lawfully entitled, or any prejudice suffered, or agreed to be suffered, by such person, other than such as he is at the time of consent lawfully bound to suffer, as an inducement to the promisor...” (Civ. Code, § 1605; *Steiner v. Thexton* (2010) 48 Cal.4th 411, 420-421.) An act by the promisee does not constitute consideration unless the promisor sought that act in exchange for its promise. (*Bard v. Kent* (1942) 19 Cal.2d 449, 452.)

Plaintiff identifies two potential forms of consideration: his continued use of Fairway’s website, and his later disclosure of personal and financial information. (Opp. at 14:8-11.) “Plaintiff provided consideration in two forms: he used Defendant’s website, and he disclosed his PII to Defendant—but he did so on the express condition that Defendant would honor his selection to decline and refrain from sharing that information with third parties.” (*Ibid.*)

As to continued use, Fairway argues that it had no way of knowing Plaintiff would decline to use its website absent the ability to opt out of cookies, and therefore could not have bargained for his continued use as consideration. (Dem. at 21:12-21.) The premise that continued use benefited Fairway, and that Plaintiff relied on Fairway’s declination-related representation in choosing to proceed, does not by itself establish consideration. “The fact that the promisee relies on the promise to his injury, or the promisor gains some advantage therefrom, does not establish consideration without the element of bargain or agreed exchange.” (*Bard, supra*, 19 Cal.2d at 452.) (citation omitted).)

The Complaint does not allege that Fairway sought Plaintiff’s continued use of the website as a specific price of its promise not to deploy trackers, as opposed to a general benefit Fairway derives from any visitor’s continued use of its site regardless of any privacy commitment. Absent an allegation that the parties mutually understood continued use to be given and received as the return for that particular promise, Plaintiff’s continued use of the website does not supply the bargained-for exchange.

As to disclosure of information, the Complaint’s theory conflates two events that are not alleged to be connected. Mr. Penning alleges that he was presented with Fairway’s cookie banner and declined the use of trackers immediately upon accessing the website, before he had disclosed any information.

(Compl. at 1, fn. 1, 14:3-5.) Mr. Penning separately alleges that he later disclosed personal and financial information in the course of proceeding through Fairway's multi-screen mortgage application. (*Id.* at 13:19-14:2, 24:16-19.) But nothing in the Complaint alleges facts connecting these two events: that Fairway sought Plaintiff's later disclosure specifically in exchange for its declination-related promise, or that Plaintiff provided that disclosure specifically in reliance on, or as the bargained-for price of, that promise. Absent such a link, declining the cookie banner is, at most, an expression of preference at the outset of the visit, and the disclosure of information several screens later is not shown to be the return Fairway sought for the promise Plaintiff identifies.

This defect is related to, and reinforced by, the analysis of Plaintiff's consent argument, *ante*. There, the separation between the notice on which Fairway relied and the screen on which information was entered defeated Fairway's showing that Plaintiff's later conduct was governed by that notice. The same absence of any shown connection between Plaintiff's declination of cookies on the first screen and his disclosure of information several screens later defeats Plaintiff's showing that those two events were part of a single bargained-for exchange. Both arguments depend on treating widely separated screens as a single transaction, and the Complaint does not allege facts bridging that gap in either direction.

Because the Complaint does not adequately allege consideration under either theory Plaintiff advances, it does not allege the existence of a contract, and the Court need not reach Fairway's remaining arguments regarding mutual assent, supersession, or damages.

Accordingly, the demurrer to the fourth cause of action is **SUSTAINED WITH LEAVE TO AMEND**.

F. Business and Professions Code § 17200 Unfair Competition Law ("UCL")

To state a claim under the UCL, a private plaintiff must show injury in fact and a loss of money or property caused by the challenged conduct. (Bus. & Prof. Code, § 17204; *Californians for Disability Rights v. Mervyn's, LLC* (2006) 39 Cal.4th 223, 228-229.) Fairway argues that Plaintiff has not adequately alleged loss of money or property, and that the UCL claim is a derivative of Plaintiff's CIPA claims and fails because those claims fail. (Dem. at 22-23.)

As to standing, Fairway relies on *Huynh v. Quora, Inc.* (N.D.Cal. Dec. 19, 2019) 2019 LX 32015, at 19-20, and *Lau v. Gen. Digit. Inc.* (N.D.Cal. Sep. 13, 2023) 2023 LX 21256, at 19-20, for the proposition that a Plaintiff who lacks any intent to sell their personal information cannot allege a loss of money or property when that information is disclosed. (Dem. at 23:2-13.) Fairway notes that Plaintiff alleges he never intended to sell his information or make it available on the resale market. (Dem. at 23:5-10 citing Compl. at ¶ 70.) That allegation forecloses a lost-opportunity-to-sell theory of injury, but it does not foreclose the theories of economic injury Plaintiff separately advances: diminution of the value of personal information already possessed, and loss of the right to exclude others from accessing it. Courts have recognized these as independent bases for UCL standing in data-privacy cases. (*In re Meta Pixel Tax Filing Cases* (N.D.Cal. 2024) 724 F. Supp. 3d 987, 1024-1025 [identifying the unfair benefit-of-the-bargain, diminished value of personal information, and reduced right to exclude as independent theories of economic injury under UCL]; *Calhoun v. Google LLC* (N.D.Cal. 2021) 526 F. Supp. 3d 605, 636 [plaintiffs who lost control of their personal information suffered economic injury sufficient for

UCL standing].)

Here, the Complaint alleges that Plaintiff's information was disclosed to and used by third parties without his consent, causing a loss in the value and exclusivity of that information, independent of any interest in selling it. (Compl. at 26:10-11.) That is sufficient to allege loss of money or property at the pleading stage.

As to the derivative predicate argument, a UCL claim premised on unlawful conduct requires an underlying violation of law. (*Ingels v. Westwood One Broadcasting Services, Inc.* (2005) 129 Cal.App.4th 1050, 1060.) The Complaint alleges that Fairway's conduct violated California common law, the Gramm-Leach-Bliley Act, 15 U.S.C. §§ 6801–09, the Fair Credit Reporting Act, 15 U.S.C. § 1681 et seq., the California Consumer Privacy Act, Cal. Civ. Code § 1798.100 et seq., and the CIPA provisions discussed above. (Compl. at 25:4-8.) Fairway's demurrer challenges only the sufficiency of the CIPA-based predicate; it does not address the other statutory and common law predicates the Complaint identifies, and the Court does not reach them. As discussed *ante*, Plaintiff has adequately alleged violations of Penal Code sections 631, 632, 638.51. (*Ante*, sections B-D.) That is sufficient to support the unlawful prong of the UCL claim at the pleading stage, and the demurrer's derivative-predicate argument fails regardless of whether the remaining predicates are independently sufficient.

Accordingly, the demurrer to the fifth cause of action is **OVERRULED**.

VI. Conclusion

For the foregoing reasons, the demurrer is **OVERRULED** as to the first, second, third, and fifth causes of action and **SUSTAINED WITH LEAVE TO AMEND** as to the fourth cause action.

Plaintiff has 15 days from the date of entry of this order to file and serve any amended pleading.